

# Precarity and Development: Production and Labor Processes in the Informal Economy in India

Review of Radical Political Economics  
2020, Vol. 52(3) 387–408  
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Political Economics  
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DOI: 10.1177/0486613419884150  
rrpe.sagepub.com



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## Abstract

We take off from the recent critiques of precarity as an emerging global phenomenon to argue that the processes of precarity in the Global North and the Global South need to be analytically distinguished to bring forth their specificities. We further argue that such an analysis challenges the idea of development as transition, as is prevalent in much of the literature. We focus on the informal economy in India to show that the notion of precarity conceptually involves three distinct aspects of production and labor processes—"non-capitalist" petty commodity production (PCP), subcontracted PCP, and informal wage-labor. We argue that these dimensions have their own particularities that have distinct implications for the process of capitalist development in India. We contend that reproduction of these informal spaces during a period of high economic growth unsettles the imaginary of development as transition.

**JEL Classification:** O17, J46, B51

## Keywords

precarity, informal economy, production and labor processes, non-capitalist, transition

## 1. Introduction

Over the past couple of decades, the issue of precarity in production and labor processes has attracted widespread attention, particularly through the work of Guy Standing (2011) and the decent work agenda of the International Labour Organization (ILO 1999; Fields 2003). In this literature, precarity is mainly understood in terms of newly emerging forms of non-standard, insecure, and precarious work relations and labor processes that have been brought forth through the process of globalization, associated structural shifts, and reforms to promote flexibility in labor markets. Standing specifically argues that these emergent work relations have given rise to a "new" class of workers, the "precariat," lacking the "usual" forms of labor security and surviving on the "dregs of the society" (Standing 2011).

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Date received: May 30, 2019

Date accepted: September 24, 2019

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However, this thesis has been widely critiqued by various scholars from a “Southern” perspective (Munck 2013, 2019; Scully 2016; Mosoetsa Stillerman, and Tilly 2016). They argue that the contention regarding the birth of a new class of precariat is underscored by a latent “Eurocentrism,” as the thesis seems to be shaped by the experiences of the Global North over the past three decades. These experiences of the advanced capitalist economies are projected as a global phenomenon to claim a false universality.

These critiques point to the vast and rich literature on precarity in the context of the informal economies in the Global South, which have always been widely prevalent in these economies (Munck 2013). The economic and political experiences of labor in the Global South have been rather distinct from those for labor located in the Global North—therefore, the projection of a uniform idea of precarity as a global phenomenon “over-simplifies” the issue (Scully 2016). Further, it is argued that even for the Global North, the issue of precarity is not a “new” phenomenon; rather, such informal and precarious production and labor processes have always been present in the advanced capitalist economies (Portes, Castells, and Benton 1989; Tabak and Crichlow 2000). In this regard, the Fordist structure of production and secure employment, which came to be accepted as the norm in the Global North, can be seen to be a “historical exception” brought forth by particular economic and political structures that emerged in the post-World War II era (Breman 2013; Breman and Van der Linden 2014).

In this paper, we take off from these critiques to argue that the issues of precarity and informality have different implications for understanding the processes of economic development in the Global North and Global South. Therefore, a globally uniform understanding of precarity decontextualizes the idea and displaces it from its specificities. We argue that the persistence of informal economic spaces—the sites of precarious production and labor processes—in the economies of the Global South, and the emergence of non-standard and precarious employment relations in the Global North, problematize the linear path of economic development through transition as posited in much of the development literature. We further argue that even in the context of the economies of the Global South, the umbrella terms of precarity and informality agglomerates heterogeneous production and labor processes, thereby veiling the particularities of these processes and their variegated implications for capitalist development in such economies. We contend that analytical distinction between these processes needs to be maintained in order to bring out these implications.

To develop these arguments, we specifically focus our analysis on the Indian economy, a post-colonial labor-surplus economy in the Global South. The Indian case is particularly interesting because, despite experiencing high economic growth for nearly three decades, a vast majority of the working population in India continues to derive its livelihood from the informal economy. This phenomenon, however, is not unique to India. In several other economies in the Global South the situation seems to be similar. Based on our critique of the unilinear narrative of development-as-transition in the context of the Global South, we analyze the informal economy in India, a major site of precarity, during the past decade of high economic growth. We attempt to prise open the closed space of the informal economy to identify three distinct dimensions related to different production and labor processes (section 2). We analyze each of these processes in detail to explore the distinct ways through which conditions of precarity are sustained via a reproduction of these processes in India, and to relate this reproduction to the problematic of development (sections 3, 4, and 5). We also show that the economic spaces that are constituted by these production and labor processes are not impermeable—rather, a significant proportion of the households that primarily depend on these processes for their economic reproduction has transitioned between these spaces during the high-growth period in India. However, despite these transitions, the overall economic structure as well as the informal economic spaces have been reproduced even during the period of high growth (section 6). We conclude by briefly summarizing our arguments and relating them to, and, in turn, critiquing, the idea of development as capitalist transition, as posited in much of the development discourse (section 7).

## 2. Informality, Precarity, and Development

In the Global South, the idea of precarity in the economic sphere is often understood through the lens of informality. The idea of the informal economy is, in turn, intrinsically related to the process of capitalist development in a specific way. In the dominant development discourse, a less developed economy (LDE) is usually distinguished from a developed economy in terms of their distinct economic structures. The structure of an LDE is characterized by an economic dualism, in terms of the coexistence of a large “traditional”/pre-capitalist/agricultural/informal sector and a relatively much smaller “modern”/capitalist/industrial/formal sector (Lewis 1954; Tignor 2004; Gollin 2014). The traditional/informal sector is generally viewed as the site of precarious employment relations, while the modern/formal sector is usually associated with secure and standard employment. On the other hand, the economic structure of a developed economy is characterized as unfractured, uniform, and homogenously modern.

The process of development, then, is viewed as a transformation of the dual economic structure of the LDEs through the process of economic growth, leading to formalization and homogenization along the lines of advanced capitalist economies. Thus, development is implicitly seen as a process of underdeveloped, pre-capitalist economies transitioning into developed capitalist ones through the transformation of their economic structures.

In this context, one of the primary theoretical and empirical problematics of development emerges as the apparent lack of transformation of the structures of various economies in the Global South despite high economic growth. This is empirically validated by the continued persistence of a vast informal sector, characterized by low levels of productivity and earnings, even in such growing economies. This lack of transformation, however, is explained in the literature through various competing—and contradictory—arguments. The mainstream literature, on one hand, either argues that such a transformation would come to pass with faster economic growth and capitalist expansion (Sethuraman 1976; PREALC 1981; Ranis and Stewart 1999), or that the informal sector comprises dynamic microentrepreneurial enterprises working under the same logic as capitalist businesses, thereby, implicitly, dispensing with the need for an economic transformation for development (De Soto 1989; Maloney 1999). In the radical literature, on the other hand, it is usually argued that the informal sector, comprising pre-capitalist production and labor processes, mainly persist to satisfy the “needs” of capital by providing cheap labor power (by functioning as an industrial reserve army), cheap wage goods, and cheap inputs for the formal capitalist sector. However, the expectation (or inevitability) of a capitalist transition and transformation of the economic structure through the process of capitalist growth and expansion prevails in the radical literature as well (Moser 1978; Gerry 1987). In that sense, the prevalence of precarity through the persistence of the informal economy is intricately linked to the problematic of development as capitalist transition in the Global South.<sup>1</sup>

The genesis of the conditions of precarity, however, can be argued to be distinct for the Global North and the Global South. In the Global South, the informal spaces, characterized by conditions of precarity, are usually seen as remnants of the past that should transition through the process of capitalist growth. For the Global North, however, the issue is the increasing informalization of the Fordist regime of wage-work and the re-emergence of precarious employment relations within formal capitalist enterprises, in spite of having historically completed the process of capitalist transition. This re-emergence of the conditions of precarity has been brought forth by various structural factors, such as changes in global production regimes, fragmentation of production processes, outsourcing, technological shifts, flexibilization of labor processes, and a sharp decline in the bargaining power of labor due to the collapse of traditional trade unions in the Global North (Piore and Sabel 1984; Bowles, Gordon, and Weisskopf, 1990; Boyer and

<sup>1</sup>See Rakowski (1994) and Wilson (1998) for detailed reviews of the literature on these various perspectives.

Julliard 2002). In that context, the resurrection of the issue of precarity, usually viewed as a symptom of underdevelopment due to the lack of capitalist transition, raises questions about the long-promised ability of capital to provide a secure and stable path towards economic betterment for vast sections of the laboring population.<sup>2</sup> However, it should be noted that even for LDEs, there has been a newly induced precarity in the formal capitalist sector through a similar process of informalization or precariatization of labor relations in recent decades, which can, at least partly, be attributed to similar global structural factors (Wilson 2019). This rise of a similar phenomenon in both spaces, in spite of unevenness in their development trajectories, raises questions about the preordained unilinear trajectory of capitalist development.<sup>3</sup>

In that sense, to a certain extent, precarity can be a productive way of problematizing and understanding the process of capitalist development. It provides an important lens to understand the emerging economic processes and work relations both in the Global North and Global South as a result of global structural factors, as well as to question the notion of a unilinear path of capitalist development. However, if we delve deeper, we stumble upon a roadblock. Using an overarching idea of precarity to uniformly characterize the heterogeneous production and labor processes in the informal economies in the LDEs, as well as to make sense of the process of informalization in employment relations, subsumes the distinctiveness of these processes and their varied implications for understanding the process of capitalist development in the LDEs. We argue that the informal economic processes in the LDEs are not just remnants of the past that failed to transition; rather, they interact and evolve with the growth process and are continuously reproduced in specific ways under capitalism. In order to understand the specificities of this process of reproduction, we need to break away from an embedded “capitalocentrism” in the development discourse (Gibson-Graham and Ruccio 2001), which views the informal economic spaces as vestiges of a pre-capitalist past that either should wither away with capitalist growth and expansion or may persist only to serve the economic needs of capital.<sup>4</sup> Such capitalocentrism subsumes the specificities of the varied economic processes in the informal spaces and their continued persistence under the logic of capital. We, rather, need to un-suture the space of informality to identify and analyze the distinct labor and production processes that comprise it.

To develop our analysis, we take off from Kalyan Sanyal’s critique of the hegemonic notion of development-as-transition (Sanyal 2007). Sanyal argues that the Marxian notion of primitive accumulation (Marx [1867] 1977), rather than being a “pre-history” of the emergence of the capitalist mode of production (Marx [1867] 1977: 875), is a continuing process that is intrinsically linked to the process of capitalist growth and expansion in the context of the postcolonial economies in the Global South. However, unlike the earlier forms of primitive accumulation, while the expanded reproduction of capital in the postcolonial economies dispossesses the population that derive its livelihood from traditional segments of the economy in order to release resources for the accumulation-oriented capitalist segment, it does not absorb the dispossessed population into the interior of capitalist production relations as wagedworkers. This “excluded” population is, then, forced to eke out its livelihood by recreating and reproducing non-capitalist, informal economic spaces that are geared towards satisfying the economic “needs” of this population (rather than being driven by the logic of accumulation and expanded reproduction, as in the case of the

<sup>2</sup>Peter Temin’s (2017) recent work goes a step further to argue that the current situation in the advanced capitalist economy of the United States can be more productively analyzed in terms of dual economy models of economic development, which, traditionally, have always been employed to model the LDEs.

<sup>3</sup>However, as noted earlier, several scholars have argued that the post-World War II Fordist regime in the Global North, marked by secure employment relations, should be seen as an aberration rather than a historical norm for these economies.

<sup>4</sup>For other critiques of “capitalocentrism” in the teleological narratives of development-as-capitalist transition, see Chakrabarti and Cullenberg (2003) and Ruccio (2010). For early critiques of such capitalocentric “hyperfunctionalism,” where every form of laboring activity is argued to be functional to and subsumed under the “needs” of capital, see Quijano (1974) and Nun (2000).

capitalist segment).<sup>5</sup> Capitalist growth, therefore, itself results in a continued reproduction of such spaces. In that sense, these economic spaces cannot be viewed as *pre-capitalist* spaces that will wither away with economic transition; rather, these are *non-capitalist* spaces that come into being *through* the process of capitalist development. The process of capitalist transition, therefore, is never really completed, and capital always remains in the state of “becoming.” Through this intervention, Sanyal extricates the narrative of development from that of a teleological process of capitalist transformation that has been central to the problematic of development. Capitalist development emerges, rather, as a field of antagonism marked by ever-continuing and relentless contradiction between the expansionary logic of capital and the needs of the excluded population. The postcolonial economy is thus seen to be fundamentally fractured between the capitalist and non-capitalist spaces driven by two separate and contradictory economic logics.

The idea that any economic formation is fractured, rather than being homogeneous, also flows from the works of Stephen Resnick and Richard Wolff (1987, 2006), among others, who argue that such formations are constituted by multiple and distinct class processes, i.e., processes of production, appropriation, and distribution of surplus labor, along with myriad nonclass processes. The class processes may be capitalist or non-capitalist, e.g., self-exploitative or feudal, depending on the specific processes in which surplus is produced by and appropriated from direct producers (and distributed among various claimants in the economy). Thus an economic formation, rather than being uniform and homogeneous, might be constituted by both capitalist and non-capitalist production and labor processes. Within this formation, both capitalist and non-capitalist spaces mutually constitute each other, and while capital may maintain its economic, political, and cultural dominance (as under capitalism), it does not (cannot) wholly and unidirectionally shape and constitute the entire economic formation. Such a non-essentialist conceptualization of the economy as an overdetermined totality does not tally with the teleological narrative of transition through economic growth.<sup>6</sup>

India is a particularly interesting case in this regard. The Indian economy has been experiencing a sustained period of high economic growth since the mid-1980s, which particularly accelerated during the decade of 2001–10, reaching an average annual growth rate of more than 7 percent. However, despite this high economic growth, the informal economy continues to provide a livelihood to the vast majority of its working population—about 93 percent of the total and 85 percent of the non-agricultural workforce continue to be informally employed in India (ILO 2013). Further, almost 85 percent of enterprises in the informal sector in India are family-based household enterprises that carry out production using only family labor without employing any hired wage labor. This marked absence of capital/wage-labor relations in the production processes in these informal enterprises point to their predominantly non-capitalist character.<sup>7</sup> The

<sup>5</sup>See Bhaduri (2017) for a different, but related, account of development by dispossession in India. See Denning (2010) for a discussion on the ubiquity of non-commodified, non-wage labor under modern capitalism. Also see Bhattacharya (2019) for a discussion on the “new locations” of labor outside labor markets and the emergent conditions of marginality of labor under contemporary globalization.

<sup>6</sup>It should, however, be noted that Sanyal’s theorization of postcolonial capitalism and the class qua surplus-based approach of Resnick and Wolff are not entirely similar, but are rather distinct in terms of their conceptualizations and implications. Sanyal, for example, would critique the surplus-based approach for “essentializing” class exploitation, wherein it misses the dynamics of marginality and exclusion from wage-work that prevails in the postcolonial economic context. The surplus-based analysis, on the other hand, would critique Sanyal’s approach for “essentializing” accumulation and need, wherein it ultimately reduces the varied dynamics of the capitalist and non-capitalist economic spaces to the logics of accumulation and need, respectively. However, as our analysis in the later sections shows, the two frameworks are not necessarily antagonistic; rather, they can, often, be productively employed together.

<sup>7</sup>We characterize the enterprises as capitalist or non-capitalist based on their relations of production and labor processes, i.e., the process of production and appropriation of surplus labor. We further elaborate on this characterization and discuss these distinctions in the next section.



rest of the informal enterprises (about 15 percent), on the other hand, can be characterized as small/micro capitalist firms that carry out production using hired wage labor. The continued prevalence of a largely non-capitalist informal economy despite high and sustained economic growth over almost three decades seems to make the Indian economy stand apart from the expected path of capitalist transition through growth. While India is a stark example, such prevalence of the informal economy can be seen in other LDEs as well. The proportion of the (non-agricultural) informally employed working population range between 82 percent for sub-Saharan Africa, 65 percent for East and South East Asia (excluding China), and 51 percent for Latin America (ILO 2013). Further, in these regions, between one-third and more than half of these informally employed populations run their own enterprises without employing any hired wage-workers, pointing to the non-capitalist character of these enterprises (Vanek et al. 2014).

We argue that the notion of precarity, particularly in the Indian context, conceptually involves three distinct dimensions related to production and labor processes: (a) the non-capitalist production and labor processes in the self-employed PCP units that are marked by an absence of capital/wage-labor relations and are not integrated into the circuit of capital in terms of their *production* processes; (b) the PCP units that are incorporated in the circuit of capital via their subcontracting linkages with capitalist enterprises, thereby marking a “formal” (rather than “real”) subsumption of labor; and (c) informalized (or casualized) wage-labor in capitalist (both formal and informal) production units. In that sense, conditions of precarity straddle both capitalist and non-capitalist spaces—they are generated by the process of “exclusion” from the interior of capital, by dispersion of the circuit of capital to non-capitalist spaces, as well as by the informalization of capitalist production and labor processes. We argue that it is analytically important to maintain the categorical distinctions between these processes to examine their specific implications for the development process.<sup>8</sup> We further argue that rather than eliminating the conditions and spaces of precarity, the process of economic growth in India has led to their reproduction and regeneration.

In the following three sections, we analyze each of these economic processes in the context of the informal economy in India. To analyze the first two processes, i.e., the non-capitalist PCP and the subcontracted PCP, we focus on the informal manufacturing sector (IMS) in India during the recent high-growth decade (2000–1 to 2010–11). We specifically explore the manufacturing sector, as it is supposed to act as the driver of the transformation process, given its strong backward and forward linkages in the economy (Storm 2015). For this analysis, we use the survey data on the Indian IMS from the 56th (for 2000–1), 62nd (for 2005–6), and 67th (for 2010–11) survey rounds of the National Sample Survey Organisation (NSSO).<sup>9</sup> For analyzing informal wage labor, we use aggregate data from various sources, as reported later in section 5.

### 3. Petty Commodity Production

As noted above, petty commodity production is usually characterized by small-scale household-based production processes, where production is carried out mainly using unpaid family labor

<sup>8</sup>It is, of course, possible (or, rather, it is expected) that the *specificities* of the processes of informality and precarity and their *particular* implications for the process of development in the context of other economies in the Global South can be (will be) distinct, at least to certain extent, from that in the Indian case. However, the *general* arguments—distinguishing the conditions and processes of precarity in the Global North and the Global South, critiquing the unilinear narratives of development-as-transition through capitalist growth, and highlighting the prevalence of distinct production and labor processes in the informal economies and their variegated implications for development—should still hold irrespective of the national particularities.

<sup>9</sup>For this analysis, all monetary values are indexed to real terms at 2004–5 prices, using a GDP deflator of the unorganized manufacturing sector. For reference purposes, monetary values are converted from Indian rupees (INR) to US dollars (USD) following the PPP conversion rate (INR/USD) of INR 11.23 for the years 2004 and 2005 on average (11.171 for 2004 and 11.282 for 2005) (OECD 2017).

without employing hired wageworkers. These labor processes in the PCP units are typically based on kinship relations where labor is not commodified as labor power. Given the absence of capital/wage-labor relationships, the PCP units are usually characterized as non-capitalist (Bernstein 2009; Harriss-White 2014).<sup>10</sup> In the development literature, such PCP units are usually seen as vestiges of a pre-capitalist past that are expected to wither away over time or to transition into capitalist enterprises with economic growth. The continued persistence and widespread prevalence of such PCP units in India despite a sustained period of economic growth is often seen as the basic marker of a fundamental fracture within the economy (Sanyal 2007; Harriss-White 2014; Chakrabarti 2016; Bhattacharya 2017). As of 2010–11, almost half of the total workforce in the Indian economy were deriving their livelihood from such PCP units, either as self-employed own-account workers or as family labor in such household enterprises (NSSO 2013).

We take off from the distinct, though not antagonistic, frameworks in Sanyal (2007) and Resnick and Wolff (1987, 2006) to analyze the production and labor processes in such PCP units. We specifically focus on the processes of production, appropriation, and distribution of surplus in these enterprises and highlight the distinctiveness of these processes in the PCP units from those in capitalist enterprises. Further, we show that the inability of the PCP enterprises to produce and to retain a significant volume of surplus shapes their conditions of precarity.

Following Marx ([1867] 1977), the circuit of capitalist commodity production can be depicted as:  $M-C-C'-M'$ , with  $M' > M$ .  $M$  is the initial amount needed by the capitalist to purchase commodities ( $C$ ) that include raw materials, means of production, and labor power that are productively consumed during the production process to produce new commodities of higher values ( $C'$ ), which are then sold in the market for a higher amount ( $M'$ ) than the initial  $M$ . The difference between  $M'$  and  $M$  is the surplus ( $S$ ) that is borne out of the exploitation of labor power, and which is appropriated by the capitalist. This surplus ( $S$ ) is used by the capitalist to secure the conditions of existence of the capitalist enterprise, in order to ensure its reproduction and possible accumulation and expansion. To secure such conditions, the capitalist needs to distribute the surplus to various claimants who provide the conditions of existence for the capitalist production process. Such payments include, among others, interest to financiers providing the initial  $M$ , rent to the owners of productive resources (including land) that are used in the production process, and taxes to the state. A part of the surplus also needs to be kept for accumulation for possible expanded reproduction and growth of the enterprise. Hence, in general, the reproduction of such capitalist enterprises is contingent upon being able to produce a positive amount of surplus ( $M' > M$  or  $M' - M = S > 0$ ). Using the available enterprise-level data, one can get a broad sense of the surplus by looking at the gross retained earnings (GRE) of the enterprise. This GRE is derived by deducting the wages paid for labor power from the valued added (VA), where the VA is the total receipts from sale of commodities produced in the enterprise minus costs of raw materials and other inputs used in the production. In other words, surplus in capitalist enterprises, which is equal to the GRE, is given by total receipts minus total input costs minus wages paid. For enterprises that only employ wage-labor (and do not use unpaid family labor), the net surplus is equal to their net retained earning (NRE), which is given by GRE minus rent and interest payments and similar such distributions of surplus.

The non-capitalist PCP units are implicated in the commodity economy through their participation in the process of market exchange. However, a key difference in their production and labor processes from that in the capitalist enterprises is that the labor used in such production processes is not commodified, and the process of production and appropriation of surplus in such

<sup>10</sup>These enterprises are characterized by self-exploitative class processes where direct producers produce and appropriate their own surplus labor, or feudal class processes where the enterprise owner appropriates the surplus labor of non-commodified family labor (Bhattacharya 2017).

enterprises is predominantly marked by self-exploitation of direct producers. Therefore, for a PCP enterprise, where no explicit wage payments are made to the working owner or the unpaid family labor, the entire value added is the retained earnings of the enterprise. Hence, to make sense of the surplus for the PCP units, the amount that might be used for self-consumption by the working owner or the unpaid family labor (which, to a certain extent, can be seen as akin to “pseudo-wages” for the labor performed by “unpaid” working owners and family labor had they been working as wage labor) needs to be deducted from the retained earnings of the enterprise.<sup>11</sup> For both capitalist and PCP enterprises, other payments required for ensuring the condition of existence and reproduction of the enterprise (such as rent, interest payments, taxes paid, etc.) should be deducted from the surplus to estimate the net retained earnings or the net surplus of the enterprise, which it can use for possible accumulation and expanded reproduction (Bhattacharya 2017).<sup>12</sup> These payments, which are required to ensure the existence and reproduction of the enterprises, may vary between capitalist and non-capitalist enterprises. For example, almost all non-capitalist PCP enterprises (as well as small-scale capitalist enterprises that operate below a particular threshold level) would belong to the informal segment of the economy, where they are generally not registered with the government and, unlike most of the formal capitalist enterprises, are not required to pay taxes. On the other hand, the non-capitalist PCP units working on the fringes of legality and having to take recourse to various strategies at the verge of illegality (using public spaces, illegally hooking up to electricity, and so on) will need to make other kinds of payments like bribes or to avoid a penalty for taking such recourses.<sup>13</sup>

The PCP units comprise the vast majority (around 85 percent) of the informal manufacturing enterprises in India, while the rest can be characterized as small-scale informal capitalist enterprises (or “establishments”) employing wage-labor in their production processes. Using the above accounting framework, we calculate the net surplus of an IMS enterprise by deducting from the NRE of the enterprise a “notional” or “pseudo” wage that may be kept aside for unpaid working owners and family workers. For informal capitalist enterprises that use both wage-labor and unpaid family labor, we impute the “notional” wages for the unpaid family labor by considering the average wages paid to the hired workers. For informal PCP enterprises without any hired labor, we impute the fund for self-consumption for unpaid family labor based on the average wage rate paid to informal/casual workers in those IMS enterprises that hire wage workers, and which are “similar” to the PCP enterprises in terms of their scale of operation, industrial classification, and location.

The average monthly net surplus retained by PCP enterprises remained insignificant over the past high-growth decade (2000–1 to 2010–11) in India (see table 1). Further, the average net surplus of PCP units has consistently remained much lower than that of the small capitalist enterprises, with the difference between the two sharply increasing over the period—the net surplus in PCP units was only about 17 percent of that in the informal capitalist enterprises in 2000–1, which further fell to about 14 percent in 2010–11. Given that the PCP units retained, on average, a positive net surplus over the decade, they have been able to reproduce themselves without withering away. However, they do so at precariously low levels. Further, given the increasing divergence between the two segments in the IMS, the dichotomy between the non-capitalist PCP and the capitalist enterprises, and the resultant fracture in the economy, has been further reinforced.

<sup>11</sup>It should be noted that the idea of wages based on labor market and employment relations cannot be fully transcribed into the space of non-capitalist production and labor processes marked by an absence of wage labor. It should be clear from the following discussion in this section that the idea of pseudo-wages is employed here only for illustrative purpose, rather than implanting the notion of waged work into the PCP enterprises. We argue later why the funds for self-consumption are likely to be different from the pseudo-wages for the PCP units.

<sup>12</sup>This idea of net surplus is similar to that of net accumulation fund developed and elaborated in Kesar and Bhattacharya (2019) and Bhattacharya and Kesar (2018).

<sup>13</sup>Some capitalist enterprises that operate above the threshold level beyond which firms are required to pay taxes may also resort to extra-legal ways to avoid paying taxes.



**Table 1.** Median monthly net surplus of PCP and informal capitalist units in the IMS (real values in INR at 2004–5 prices).

| Year    | PCP units    | Informal capitalist enterprises |
|---------|--------------|---------------------------------|
| 2000–1  | 329 (USD 29) | 1981 (USD 176)                  |
| 2005–6  | 248 (USD 22) | 2158 (USD 192)                  |
| 2010–11 | 515 (USD 46) | 3705 (USD 330)                  |

Note: Authors' calculations using NSSO data.

Moreover, it is quite likely that even this low value of net surplus for PCP enterprises might be an overestimation. For example, the “pseudo-wage” imputed for household workers based on the average wage rates for casual wage workers in the informal sector might be an underestimation. We find from the India Human Development Survey (IHDS) data for 2005 and 2011–12 that per capita consumption expenditure of households that derive their primary income from non-farm PCP units is around 40–45 percent higher than those that derive their primary income from non-agricultural casual wage employment. Further, the non-explicit/extra-legal payments, such as bribes (or *haftas*) are also not reflected in survey data, and if accounted for, would further decrease the estimated net surplus for these PCP enterprises.

Taking off from Sanyal (2007), we argue that these enterprises continue to persist in spite of being at precariously low levels without much possibility for expanded reproduction, because they are primarily geared towards providing economic needs of the households. The exclusionary nature of growth and the lack of employment opportunities in the capitalist segment of the Indian economy—due to falling employment elasticity and the phenomenon of jobless or job-receding growth during the period of high growth (Chandrasekhar and Ghosh 2007; Kannan and Raveendran 2009; Basu and Das 2016)—forces those whose livelihoods are contingent on the survival of these PCP units to ensure their continued reproduction. Therefore, the economic logic of ensuring the reproduction of such PCP units (even at precariously low levels) is driven by the need to ensure the economic survival of the household. For that, the household enterprise may even be forced to suppress the consumption levels of the working owner and family labor to generate even the nominal surplus essential for ensuring the conditions of existence and reproduction of the household enterprise. This brings out a sharp distinction between the economic logics governing the production and labor processes in PCP units vis-à-vis capitalist enterprises. While a capitalist enterprise may need to discontinue production if it cannot secure the conditions for existence and expanded reproduction of the enterprises due to low levels of surplus, the PCP units may not have such an option. Given the low level of funds kept aside for self-consumption in order to generate a positive surplus in the PCP units, it is likely that any positive net surplus would be used for augmenting the consumption of household workers, rather than being channeled towards accumulation—thereby prioritizing the logic of subsistence of households over the logic of accumulation in enterprises.

Reproduction of such PCP enterprises is further facilitated by cutting down on various production costs. The overlap between the consumption space of the households and the production space of the PCP enterprises enables them to use various household resources, such as family labor, physical space of the household, and household tools. Working on the fringes of legality, they also actively “commonize” various resources by subverting private property rights by encroaching on public spaces, illegally hooking electricity connections, etc. (Bhattacharya, Bhattacharya, and Sanyal 2013). We find that about 80 percent of PCP units in India operate from within-household premises, and for those located outside the household, around 62 percent do not report paying any rent for “land and building” (the corresponding figures for capitalist IMS enterprises are around 25 percent and 45 percent respectively) (see table 2). Further, we find that

**Table 2.** Percentage of IMS enterprises located within the household premises.

|         | PCP enterprises | Informal capitalist enterprises |
|---------|-----------------|---------------------------------|
| 2000–1  | 77.08           | 26.07                           |
| 2005–6  | 80.7            | 24.99                           |
| 2010–11 | 79.87           | 25.55                           |

Note: Authors' calculations using NSSO data.

(for 2005–6), around 59 percent of PCP enterprises with electricity connections did not report paying any charges for electricity consumption, while for capitalist IMS enterprises the corresponding figure was merely 13 percent. We also find that (for 2010–11) for those PCP units that hire tools, about 63 percent do not report paying any rent. All these indicate a process of “commonizing” in order to bring down the cost of reproduction of the firm.

This “flexibility”—made possible by the overlap between the household and the enterprise, as well as by actively “commonizing” various resources—therefore, enables these enterprises to reproduce themselves even though they might not be able to retain any significant amount of surplus. Some influential mainstream strands of literature on the informal economy attributes this to the dynamic and microentrepreneurial nature of PCP enterprises (De Soto 1989; Maloney 1999). Some others see this “flexibility” as demonstrating characteristics that allow the firms to innovatively circumvent the economic constraints faced by them (unlike the Fordist enterprises), thereby enabling them to grow (see Sabel (1982) and Piore and Sabel (1984) for critical arguments on flexible specialization). However, given our analysis, we argue that the conditions of precarity endemic to these PCP enterprises force them to have the “freedom” to be flexible by cutting down their consumption, increasing self-exploitation, subverting private property rights, using household resources, etc. It is through such flexibilization that these PCP enterprises are able to reproduce themselves and the spaces of precarity. On the other hand, such reproduction of the non-capitalist economic spaces exonerates capital from the task of having to directly provide basic livelihoods to the vast sections of the working population in order to ensure rudimentary levels of political stability in the system.

The continued reproduction of such spaces calls into question the historicist notion of these spaces as *pre*-capitalist remnants of the past that failed to transition. Rather, these should be understood as *non*-capitalist spaces that are implicated in the broader commodity economy and are regenerated even during periods of high capitalist growth. Thus, neither is this a continuation of the historic craft commodity production, nor is it similar to the emergent precarious employment relations in the Global North.<sup>14</sup> The process of exclusion of a vast working population from the interiors of capital by rendering them to be “surplus” from the vantage of capitalist production and labor processes gives rise to some of the conditions of precarity in the economy. The dichotomy between capitalist and non-capitalist spaces in the Indian economy are further entrenched, and the economic dualism is continuously reproduced through the process of reproduction of the non-capitalist spaces even during the period of economic growth.

#### 4. Subcontracted Informal Enterprises

Subcontracted informal enterprises, however, complicate our understanding of the economic processes in these enterprises, particularly for the informal PCP units. We show in this section that the economic processes in the subcontracted PCP enterprises are distinct from those in the PCP

<sup>14</sup>In this regard, refer to the debate between Breman (2013) and Standing (2014).

**Table 3.** Median monthly net surplus of subcontracted and non-subcontracted IMS enterprises in India (real values in INR at 2004–5 prices).

|                                                       | 2000–I       | 2010–II      |
|-------------------------------------------------------|--------------|--------------|
| Net surplus of non-subcontracted (NS) IMS enterprises | 427 (USD 38) | 792 (USD 70) |
| Net surplus of subcontracted (S) IMS enterprises      | 301 (USD 27) | 287 (USD 26) |
| Proportion of net surplus of NS and S IMS enterprises | 1.4          | 2.7          |

Note: Authors' calculations using NSSO data.

enterprises analyzed above. The subcontracting linkages bring new dimensions to the PCP units, particularly in terms of their production and labor process as well as in terms of their autonomy and decision-making power.

In the standard literature on economic development, subcontracting linkages are seen as important channels for facilitating a transformation of informal enterprises, particularly by enabling transfer of technology, provisioning of credit, access to markets, and development of entrepreneurial capabilities. It is argued that with high economic growth, formal enterprises develop stronger linkages with relatively more productive and technologically advanced informal enterprises, enabling them to grow and expand, thereby facilitating a transition of these enterprises into larger capitalist enterprises. This is expected to competitively crowd out the less productive and backward informal enterprises (Ranis and Stewart 1999).

In the Indian context, however, we find that incidence of subcontracting in the IMS has actually fallen during the period of high growth—from around 30 percent in 2000–I to 20 percent in 2010–II. Moreover, as shown in table 3, the average monthly net surplus of the non-subcontracted informal enterprises in India is about one-and-half times that of the subcontracted ones, which further increased to about three times by 2010–II.

The phenomenon of subcontracting points to a process of informalization of formal production structures where, in order to reduce labor costs, the formal sector firms outsource (partly or wholly) the production process to other, mostly informal, firms. It should, however, be noted that the nature of subcontracting linkages and their impacts on the production and labor processes in informal enterprises are not uniform across subcontracted firms. Following Sanyal (2007), we identify three distinct subcontracting relations for informal enterprises: (a) subcontracted informal capitalist enterprises; (b) subcontracted informal PCP enterprises under “putting-out” relations; (c) subcontracted informal PCP enterprises not under putting-out relations.

The informal capitalist enterprises (or “establishments”) are the relatively more productive and technologically advanced segment of the informal sector. However, the fall in the incidence of subcontracting has been more pronounced for these firms (from 30 percent to 10 percent) relative to that for the PCP firms (from about 31 percent to 22 percent).

Moreover, over the last decade the average net surplus of the subcontracted capitalist enterprises has been increasingly lagging behind the non-subcontracted ones. As shown in table 4, while the subcontracted informal capitalist enterprises retained a higher net surplus than the non-subcontracted ones at the beginning of the decade, the trend was reversed and the gap widened over the period.

However, these subcontracted capitalist enterprises still retain a significantly higher net surplus than the PCP enterprises in general. The more interesting case is that of the PCP subcontracted enterprises. While all PCP units are implicated in the capitalist market economy through circulation and exchange processes, they are not internal to the capitalist circuit in terms of their production and labor process. We argue that for certain types of subcontracting relations, these processes undergo a change when the PCP units enter into subcontracting relations.

opposite

**Table 4.** Median monthly net surplus of subcontracted (S) and non-subcontracted (NS) capitalist enterprises in the IMS (real values in INR at 2004–5 prices).

|                                                                  | 2000–1         | 2005–6         | 2010–11        |
|------------------------------------------------------------------|----------------|----------------|----------------|
| Net surplus of NS capitalist IMS enterprises                     | 1896 (USD 169) | 2234 (USD 199) | 3777 (USD 336) |
| Net surplus of S capitalist IMS enterprises                      | 2131 (USD 190) | 2041 (USD 182) | 2880 (USD 256) |
| Proportion of net surplus of NS and S capitalist IMS enterprises | 0.9            | 1.1            | 1.3            |

Note: Authors' calculations using NSSO data.

The subcontracting relations for the PCP units are usually of two different types. We characterize the first as “putting-out” relations.<sup>15</sup> Under this kind of subcontracting relation, the subcontracted PCP unit directly receives raw materials and means of production (C) from the parent firm, who contract out the production process to these units. So, these PCP units do not need the initial M to begin the circuit of production. Rather, they add their own (and other family workers') labor to the C provided by the subcontractor to produce C', which they are contractually bound to entirely supply back to the parent firm in return for a pre-fixed amount. This amount (m) can be considered to be the income for the labor performed by the owners and family workers in the PCP units.

In the Indian IMS, a substantial proportion of subcontracted units receive raw materials and designs from the parent firm as a part of C and supply the entire produce back to the parent firm. For example, over the past decade, about 94–95 percent and 82–95 percent of subcontracted PCP enterprises received raw material and design specifications, respectively, from their parent firms, and around 81–91 percent of the subcontracted PCP enterprises supplied solely to the subcontractor. However, it should be noted that, unlike the traditional understanding of the putting-out system, most of these units do not receive any tools and equipment from parent firms—only about 10 percent of these units received tools and equipment in 2000–1, which further fell to less than 3 percent in 2010–11. We also find that only a negligible proportion of PCP units report using any hired tools and machinery. So, most of these subcontracted enterprises use their own tools (96 percent as of 2010–11) and some of them also use their own machinery (25 percent). However, the median value of tools owned by subcontracted PCP units is very low or negligible. Further, only 5–8 percent of those owning tools and machinery report any net addition to the value of these inputs.

We make the following observations from this. First, these put-out subcontracted PCP units use their non-commodified household implements, along with their *apparently* “non-commodified” labor, to carry out the (labor-intensive) production process. Second, these units also “commonize” various other resources in order to lower explicit production costs. Third, this use of apparently “non-commodified” resources as well as the “commonizing” activities provide the parent firms with indirect (unpaid) access to these resources, lowering their cost of production, which indirectly subsidizes the parent firm. Fourth, the amount “m” paid by the parent firm to the subcontracted firm, then, is not required for replenishing the initial “C”; rather, it constitutes the income for the household enterprises in return for “indirectly” supplying (“selling”) their labor (power) to the parent firm.

We find that over the decade of high growth, more than 75 percent of subcontracted PCP units operated under such put-out arrangements, where they received raw materials and designs from the parent firm and supplied the entire produce back to them. Moreover, as shown in table 5,

<sup>15</sup>See Basole and Basu (2011) for another discussion on the putting-out nature of subcontracting relations in the Indian IMS.

**Table 5.** Median monthly net surplus of “put-out” and “non-put-out” subcontracted IMS enterprises (real values in INR at 2004–5 prices).

|                                                                         | 2000–I       | 2010–II      |
|-------------------------------------------------------------------------|--------------|--------------|
| Net surplus of subcontracted PCP units under “put-out” relations        | 210 (USD 19) | 265 (USD 24) |
| Net surplus of non-subcontracted (NS) PCP units                         | 371 (USD 33) | 638 (USD 57) |
| Proportion of net surplus of NS and “put-out” subcontracted enterprises | 1.8          | 2.4          |

Note: Authors' calculations using NSSO data.

these put-out enterprises retain an almost negligible amount of net surplus, which is much (and increasingly) lower than that retained by other non-subcontracted PCP units. This underscores the fundamentally precarious conditions of these firms. Therefore, it is possible that these firms might not be able to reproduce themselves on their own without the access to initial raw materials and an assured market for their product, which, then, forces them to enter into such distress-driven subcontracting relations.

These enterprises lose their autonomy over the production process and merely undertake the process of transforming C to C' that is “put out” to them. While these put-out enterprises are more like waged workers who are being paid by the parent firms for their expended labor, they are, on the other hand, not “internal” to the capitalist firm. In other words, such putting-out relations signify a process of formal, rather than real, subsumption of labor under capital. As Sanyal (2007) argues, this signifies a dispersion of capitalist relations to the space of PCP, thereby changing the nature of these enterprises. Such subcontracted PCP units under put-out relations cannot be strictly characterized as non-capitalist firms, despite the absence of any capital/wage-labor relation within them—rather, they are akin to wage workers that are spatially located outside the capitalist firms.

The informal PCP enterprises that work under “non-put-out” subcontracting arrangements still face a relative loss of autonomy over their production processes.<sup>16</sup> They undertake production at the instance of the parent firm and sell back the entire produce to them. Unlike the put-out firms, the circuit of production for these subcontracted enterprises is similar to that of the non-subcontracted PCP firms, where they procure the initial M and C on their own to undertake production using unpaid family-labor to produce C', which is then exchanged for M'. However, unlike a non-subcontracted PCP unit that sells the final products to the market, these firms sell the final product (either partly or wholly) to the subcontractor. Therefore, here the relation between the subcontracted and the parent firms is more of a market exchange, where the parent firm is a monopsonistic or oligopsonistic buyer, which may lower the bargaining power of the subcontracted PCP unit. It is possible that some of these firms may also receive the initial “M” as credit from the parent firm, which they have to pay back with interest at the end of the cycle. Here the subcontractor works, additionally, as a financier who receives a cut from the surplus generated in the subcontracted enterprise. Due to such interlocking of markets, which increases the market power of the subcontractor, the subcontracted firm may have to face additional constraints for their reproduction, thereby subjecting them to more precarious conditions.

The process of subcontracting in the informal economy in India, therefore, does not seem, on an average, to facilitate a process of expanded reproduction and transition of the PCP enterprises, as posited in the standard literature. Rather, as shown above, the net surplus in these enterprises, which might be used by them for expansion, is even lower than that of the non-subcontracted

<sup>16</sup>Such “non-put-out” subcontracted units constitute a very small proportion of the Indian IMS.



PCP units. Thus the conditions of precarity seem to be reproduced in the space of the subcontracted PCP enterprises through the dispersion of capitalist production relations to the PCP spaces by development of such subcontracting linkages, rather than through a process of exclusion of the PCP units from the circuit of capital.

## 5. Informal Wage Labor

Unlike the two categories that we analyze above, informal wage workers are located in the interior of the capitalist production process. Informal wage-labor is prevalent both in the economies of the Global North and the Global South. However, while the informalization of labor processes in formal capitalist enterprises is a relatively recent phenomenon in both regions with the onset of globalization, informal wage-labor in the informal sector has always been prevalent in the Global South.

A large proportion of workers in India remain informally employed. As of 2011–12, 18.5 percent of the working population in India has been regularly employed and 20.2 percent casually employed (with the rest being self-employed). Note that regular salaried employment includes all workers who receive wages on a regular basis, whereas formal employment, which involves having a job contract and social security benefits, is only a part of it. According to the State of Working India Report (CSE 2018), only around 17 percent of non-agricultural wage-labor has access to such formal employment. The post-1980s period particularly stands out for the Indian economy in terms of casualization and informalization of wage-labor within the formal sector due to processes of liberalization and labor market flexibilization. For example, it is shown that during the 2000s, while there was some rise in employment in the formal sector, the net increase was mostly due to a rise in informal employment within the formal sector (Srivastava 2012; ILO 2018). The share of contractual workers with short-term or fixed-term contracts increased from 14 percent to 35 percent in the formal manufacturing sector between 1990–91 and 2011–12. Further, between 2004–5 and 2011–12, regular salaried employment without social security and other non-wage benefits increased by 9.2 percent, whereas formal employment increased by merely 3.2 percent (ILO 2018). The flexibilization of the labor process in the formal sector, which has been traditionally viewed as a source of secure employment, has led to an increased precaritization even within this sector during the period of high growth.

There exists a significant difference in the average monthly wages, even among informal workers, between the formal and informal sectors. Among regular informal wagedworkers, the average daily wage of those employed in the formal sector (INR 411) is more than twice that of those employed in the informal sector (INR 205) as of 2011–12. However, the wages of casual wagedworkers in the two sectors, although much lower than the wages of the regular informal workers in their respective sectors, have been roughly similar (ILO 2018).

A prevalent understanding in the standard development literature has been that capitalist transition and an expansion of the space of capital would lead to a decline in precarious labor relations and enable conditions in which secure livelihoods could be enjoyed. However, the rise of informalization and precariatization within formal capitalist spaces is symptomatic of a breakdown of this expectation. It has been pointed out that even in the Global North, secure wage-labor relations have been a result of the erstwhile Fordist regime and have been, historically speaking, more of an expectation than a norm (Bremen 2013).

Such informalization usually leads to a lowering of the price of labor power. In India, we find that, as of 2011–12, the average earnings of regular salaried workers were more than twice the average earnings of casual wagedworkers receiving wages on a daily basis (see table 6). If we consider only formal employment, the wage difference is much higher.

Moreover, from IHDS data we find that per capita consumption levels of households deriving primary income from casual wage employment is even lower than that for those who depend on non-capitalist PCP enterprises. For example, the per capita consumption levels of the former

**Table 6.** Average monthly wages/salary in INR (2011–12).

|       | Regular salaried workers | Casual wage workers | Ratio of average earnings<br>of regular salary earners<br>to casual wage earners |
|-------|--------------------------|---------------------|----------------------------------------------------------------------------------|
| Rural | 8,969                    | 4,159               | 2.2                                                                              |
| Urban | 13,490                   | 5,103               | 2.6                                                                              |

Source: Based on NSSO Employment-Unemployment Surveys for 2011–12.

group of households in 2011–12 were about 69 percent of that for the latter group of households (as shown in the next section).

In order to subsist in a capitalist commodity economy, a waged worker is required to sell their labor power to a capitalist as a commodity in the labor market. The capitalist, in turn, pays the waged worker the price of their labor power, i.e., the money wage, which the worker uses in order to socially and economically reproduce themselves. As shown above, on average, the informal worker in India is paid a much lower wage than a formally employed waged worker and, unlike the formally employed, is also not covered by any social security benefits. The lowering of the price of labor power for a long duration creates a downward pressure on the “customary” standard of living of waged workers, thereby lowering the value of labor power. This increases the relative surplus value for the capitalist. The increased casualization of wage-labor also leads to a breakdown of traditional modes of collective wage bargaining through trade unions, lowering the bargaining power of labor, thereby creating further conditions for lowering the price of labor power and increasing the relative surplus for capitalist.

The process of capitalist growth in India has led to some forms of proletarianization, while also reproducing the spaces of non-capitalist production and labor processes as shown earlier. The transition to wage-labor has, however, happened mostly in terms of increasingly precarious work relations and precariatization of labor processes even within the interiors of capitalist production in the formal capitalist enterprises.

## 6. Transitions

While precarity spans all the above dimensions of production and labor processes in the informal economy, we have shown above that each of these is reproduced in distinct ways in the Indian context. However, the occupants of these spaces of precarity and informality are not fixed in terms of their locations; rather, they constantly transition across these spaces. It is through such transitions that these spaces get continually reproduced. In order to analyze the nature of this continued reproduction, we examine the panel data for 2005 and 2011–12 (a period within the recent high-growth decade in India) from the IHDS.<sup>17</sup>

We divide households into five distinct categories based on their primary sources of economic dependence. These categories are based on different levels of formality and informality across different production and labor processes in which these households are located in terms of their primary economic dependence: (a) *non-capitalist petty commodity production*—these households derive their primary income from self-employment in (non-farm) family-based PCP units that do not hire any waged worker;<sup>18</sup> (b) *informal wage employment*—these households derive their major

<sup>17</sup>For this analysis, all monetary values are indexed to real terms at 2005 prices, using the deflator provided in the data.

<sup>18</sup>Note that some of these units may work under subcontracting relations, thereby changing the characteristics of their production and labor processes, as discussed earlier. However, it is not possible to identify such subcontracted units from this dataset.

income from being employed as daily wagedworkers in agricultural or non-agricultural occupations; (c) *regular salaried employment*—these households derive their major income from being employed as wagedworkers receiving wages on a monthly or annual basis (such employment is often considered as formal employment in a more expansive sense); (d) *ownership of enterprise employing wage labor*—these households derive their major income from ownership of (non-farm) businesses that employ wagedworkers, generally referred to as “establishments” (these might be either formal or informal capitalist enterprises); (e) *farm business/agriculture*—these households derive their primary income from agriculture and allied activities.

We identify (non-farm) non-capitalist PCP and informal wage employment as the more precarious and informal among these categories. While farm businesses might belong to the formal or informal sector, it has been identified that more than 98 percent of agriculture belongs to the informal sector (NCEUS 2007). Therefore, we consider this category to be a part of informal economy. Further, regular salaried employment is relatively more formal in nature than informal wage employment. Finally, while some of enterprises employing wage-labor might be informal in nature, it is relatively less precarious than other categories that comprise the informal economy.

We find that there was not much change in the proportion of households belonging to each of these categories between 2005 and 2011–12 in India. However, this does not imply that the structure has been stagnant or that the same households have remained within these categories over time. Rather, this period has been marked by the significant mobility of households across these categories. For example, while 38 percent of informal wage-labor in 2005 transitioned out of this category over the period, the total size of this category has remained relatively intact—changing marginally from 37 percent to 36 percent. This is because such transitions were accompanied by similar and simultaneous transitions of households belonging to other categories towards this sector over the period. Similarly, while 68 percent of (non-agricultural) PCP households in 2005 transitioned to other categories during the period, 65 percent of PCP units in 2011–12 had transitioned out of other categories over this period. The patterns of these transitions are reported in table 7. It shows that there have been simultaneous transitions of similar magnitudes across these categories. Such patterns of transitions have resulted in a continuous reconstitution of all these different spaces, in spite of substantial movements across these categories. It should be noted that even the non-capitalist PCP spaces, as well as other informal production and labor processes, have been continuously reconstituted through these transitions during this high-growth period.

Further, we find that, on an average, the households that depend on informal wage employment have the lowest levels of per capita consumption among all these categories (see table 8). The consumption level of these households, on average, is almost half of that of households deriving primary income from regular wage employment. The consumption levels of households belonging to non-capitalist PCP units and to farm business/agriculture are almost the same. However, the consumption levels of households deriving primary income from regular wage employment is much higher than those that depend on non-capitalist PCP units.<sup>19</sup> Unsurprisingly, the consumption level of households deriving income from ownership of (non-agricultural) enterprises employing wage-labor is by far the highest. Thus, despite substantial transitions across these categories, the spaces continue to remain strictly delineated and segregated in terms of the economic well-being (measured by consumption levels) of households belonging to these spaces.

Despite significant churning and transitions across these spaces, all these categories encompassing different production and labor processes have been reproduced in India, including the non-capitalist and other informal spaces that are major sites of precarity. *Instead of a stagnant*

<sup>19</sup>This is contrary to the arguments presented in some influential strands of mainstream literature (e.g., Maloney 1999; Fajnzylber Maloney, and Montes-Rojas 2009; Bargain and Kwenda 2014), which argue that informal self-employment and, in certain cases, even the informal wage employment, might be preferred to formal salaried employment.

**Table 7.** Proportion of households deriving their primary income from different categories, and proportion of households transitioning between different categories, between 2005 and 2011–12.

| Sector                                                           | Percentage of households deriving primary income from different categories in 2005 and 2011–12 |           | Percentage of households in different categories in 2005 that transitioned to another category | Percentage of households in different categories in 2011–12 that transitioned from another category |
|------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-----------|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
|                                                                  | 2005                                                                                           | 2011–2012 | 2005                                                                                           | 2011–12                                                                                             |
| Informal wage employment                                         | 37.3                                                                                           | 36.4      | 37.6                                                                                           | 36.1                                                                                                |
| Regular salaried employment                                      | 19.7                                                                                           | 19.3      | 46.2                                                                                           | 44.9                                                                                                |
| Non-capitalist PCP (non-agricultural)                            | 9.8                                                                                            | 9.0       | 68.2                                                                                           | 65.2                                                                                                |
| Farm business/agriculture                                        | 23.9                                                                                           | 20.1      | 49.6                                                                                           | 40.2                                                                                                |
| Ownership of enterprises employing wage-labor (non-agricultural) | 3.5                                                                                            | 3.2       | 74.6                                                                                           | 72.2                                                                                                |
| Others                                                           | 5.8                                                                                            | 12.0      | 52.5                                                                                           | 77.3                                                                                                |
| Total                                                            | 100.0                                                                                          | 100.0     | —                                                                                              | —                                                                                                   |

Note: Based on authors' calculations using IHDS data. The category "Others" comprises households that derive their primary income from non-labor sources like property, pensions, interest, and dividends.

**Table 8.** Per capita household consumption levels of households that derive their primary income from certain categories.

|                                                                  | 2005   | 2011–12 |
|------------------------------------------------------------------|--------|---------|
| Informal wage employment                                         | 6,680  | 9,484   |
| Agriculture and allied activities                                | 8,999  | 12,926  |
| Non-capitalist PCP (non-agriculture)                             | 9,722  | 13,294  |
| Regular wage employment                                          | 13,215 | 18,270  |
| Ownership of enterprises employing wage labor (non-agricultural) | 15,548 | 22,002  |
| Total                                                            | 9,535  | 13,389  |

Note: Based on authors' calculations using IHDS data.

mass of population inhabiting these spaces, these populations seem to be in a constant state of flux, moving across categories in search of livelihoods, while continuously recreating informal spaces. Therefore, the non-capitalist informal spaces cannot be simply considered to be remnants of the past that failed to wither away due to stagnancy and lack of dynamism, as is posited in much of the dualist literature. Rather, it is through a dynamic process of continuous reshuffling that this fractured economic structure was reproduced during the period of high economic growth. This calls into question the teleological narrative of transition and transformation of economic structure through the process of capitalist growth.

## 7. Conclusion

We argue in this paper that it is imperative to maintain a distinction between the Global North and the Global South in terms of the notions of precarity and informality, particularly in order to critique the standard imaginary of development as capitalist transition. In the context of the

economies of the Global South, the issue of precarity is generally seen to be rooted in the persistence of non-capitalist, informal economic spaces, which is viewed as symptomatic of a “lack” in the process of capitalist transition. In the standard development literature, the Global North is usually posited as the archetype, which the economies in the Global South are expected to realize through the process of capitalist development and transition.

We problematize this thesis by pointing out that, on one hand, there has been an emergence of a similar process of informalization and precariatization of employment relations within the formal capitalist spaces in both the Global North and the Global South in recent decades, even though these economies are at different “stages” of their expected linear path of development. On the other hand, the non-capitalist and informal spaces of precarity in the Global South that were expected to wither away are being continuously reproduced with the process of capitalist growth.

We focus on the Indian economy to argue that it is crucial to maintain an analytical distinction between different production and labor processes that encompass these spaces of precarity, particularly in order to make sense of the nature of contemporary capitalist growth. We identify three distinct aspects of production and labor processes in the informal economy in India—informal non-capitalist PCP, subcontracted PCP, and informal wage labor—and explore their nature, evolution, and reproduction over the past decade of high economic growth in India. We argue that the conditions of precarity are reproduced through a process of exclusion from the interiors of capital and regeneration of non-capitalist spaces, through a dispersion of the circuit of capital to non-capitalist spaces, as well as through a process of informalization of capitalist production and labor processes.

The non-capitalist PCP enterprises have, on an average, continued to reproduce over the period of high growth, although at precariously low levels, without withering away or exhibiting any marked tendency towards transitioning into larger capitalist enterprises. In that sense, these non-capitalist spaces are not vestiges of the past that failed to transition; rather, they continue to reproduce themselves precariously by depending on non-commodified labor and household resources, subverting various private property rights and, when needed, suppressing the consumption level of the households, in order to ensure the conditions of survival of the enterprises that provide subsistence to the households owning them.

The production and labor processes in the PCP enterprises are transformed if they enter into subcontracting linkages with larger capitalist enterprises. A vast majority of such subcontracted PCP enterprises in India work under “putting-out” relations that take away their autonomy over the production process and transform the petty producers into mere appendages of the parent firms. Such subcontracting relations indicate a dispersion of the circuit of capitalist production and a formal subsumption of labor. Rather than being non-capitalist petty producers, they are akin to wage workers for capitalist firms despite being spatially separated from them. These PCP units are among the most vulnerable and precarious informal enterprises.

With the onset of globalization and flexibilization of production and labor processes, there has been increasing informalization and casualization of employment relations within formal capitalist spaces in India, particularly during the last decade of high economic growth. While this growth process has led to some forms of proletarianization (even though non-capitalist petty producers and household workers continue to comprise the vast majority of the working population), this has led to an increasing precariatization of labor even within the formal capitalist enterprises that were seen as sites of secure employment, as well as to a lowering of the price of labor power. The emergence of this process of informalization in both the Global North and Global South complicates the linear narrative of capitalist development and transition.

We show that those occupying the distinct economic spaces in India encompassing different production and labor processes have not remained tied to these spaces; rather, they are continuously transitioning across these spaces, thereby continuously recreating the economic spaces on a regular basis. This continued reproduction of different economic spaces, including the non-capitalist and informal economic processes that are marked by conditions of precarity, indicate



that the fractured and segmented economic structure in India is not a result of a stagnant economy, but has been reproduced through a dynamic process during the period of high growth. Moreover, such reproduction of the economic structure despite high growth and significant transitions across the economy calls into question the development-as-transition imaginary, as posited in much of the discourse on economic development.

Much of the conditions of precarity in India is constituted through this process of reproduction of non-capitalist production and labor processes. The working population engaged in these non-capitalist spaces for their livelihood are driven by an economic logic of subsistence, thereby ensuring the reproduction of these processes even at precarious levels. It has been argued that much of this population may not be “needed” by capital for its reproduction in any meaningful sense, and can be considered more as a “surplus population” that is not directly functional for the process of capitalist reproduction (Sanyal 2007; Bhattacharya and Kesar 2018).<sup>20</sup> This is unlike the subcontracted “put-out” petty producers and the informal wagedworkers who are located within the circuit of capitalist production, and can be considered, in some sense, to be internal to the process of capitalist reproduction.

Given the sheer size of the working population engaged in these non-capitalist production and labor processes, it does not make much sense to characterize this entire mass as the “reserve army of labor,” which serves specific purposes for capital and are intrinsically linked to its reproduction. While, without doubt, the existence of this mass of non-capitalist petty producers keeps the costs of economic reproduction low and vastly reduces the bargaining power of wagedworkers, it would be theoretically rather vacuous to argue that capital needs to maintain such a huge proportion of the working population as a reserve army for its own reproduction. Further, despite the existence of this vast segment of petty producers, the real wages for regular and casual wage workers in India has risen at an annual average rate of more than 3 percent between 1993-1994 and 2011-12, thereby negating one of the prime functions of the reserve army (even though the condition of informal wage-labor continues to remain precarious, and, in general, this rise in real wages has been partly offset by an increased expenditure on privately provided health and education due to a decline in public provisioning of social services) (ILO 2018; CSE 2018; Basole and Basu 2015). The blanket characterization of non-capitalist petty producers as reserve army follows the familiar capitalocentric trope of subsuming the entire social formation to the logic of capital, thus reducing the complexities of the fractured economic space and negating the possibilities of an outside of capital. This capitalocentric vision, in turn, is inescapably tied to the narrative of development as capitalist transition. However, invoking a non-reductionist framework of understanding the economic formation as an overdetermined totality constituted by both capitalist and non-capitalist class processes (along with non-class processes) (Resnick and Wolff 1987, 2006), it is possible to displace the narrative from its capitalcentric capitalocentric moorings (Ruccio 2010).

Following Sanyal (2007), a more plausible argument seems to be that the non-capitalist segment of the informal economy provides a sink to the large masses of surplus population who are excluded from the process of capitalist growth, or are victims of the process of primitive accumulation, but are not proletarianized and included within the capitalist circuit of production as wagedworkers. These excluded masses are then forced to have the “freedom” to precariously reproduce their conditions of livelihood and survival in the informal economy. In that sense, the process of capitalist growth itself recreates and reproduces non-capitalist economic spaces, thereby problematizing the notion of capitalist transition. However, as noted above, the capitalist growth process may also lead to a dispersion of the circuit of capital to non-capitalist spaces, as

<sup>20</sup>Also see Davis (2006) and Breman (2003). For a somewhat similar argument in the Latin American context, see the theses on “marginal mass” by Nun (2000) and “marginal pole” of the economy by Quijano (1974).

well as to an increase in proletarianization. Further, in the Indian context, it has also led to significant transitions of households across different economic spaces. Thus, in the present conjuncture, the conditions of precarity and informality are not outcomes of stagnancy and lack of growth, but rather are brought forth and sustained through the process of capitalist growth itself.

### Acknowledgment

We would like to thank the members of the RRPE review panel for their helpful comments and suggestions.

### Declaration of Conflicting Interests

The author(s) declared no potential conflicts of interest with respect to the research, authorship, and/or publication of this article.

### Funding

The author(s) received no financial support for the research, authorship, and/or publication of this article.

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